Question 1 of 51

Question ID: 1587990

Which of the following waterfall structures is *most likely* favorable to the limited partners in a private capital investment vehicle?

A) American waterfall.

B) Deal-by-deal waterfall.

C) Whole-of-fund waterfall.

Question 2 of 51

Question ID: 1587991

An alternative investment vehicle that requires incentive fees to be calculated only on the portion of returns above a benchmark return is said to have a:

- **A)** soft hurdle rate.
- **B)** hard hurdle rate.
- **C)** high water mark.

Question 3 of 51

Question ID: 1587992

The effect of survivorship bias on hedge fund risk and returns from historical results is to overstate:

A) both risk and expected returns.

B) expected returns and understate risk.

C) risk and understate expected returns.

Question 4 of 51

Question ID: 1587993

A hedge fund has a 2-and-20 fee structure with a hard hurdle rate of 5% and incentive fees calculated independently of management fees. If the fund value was $12.350 billion at the beginning of the year and $13.338 billion before fees at the end of the year, an investor's return after fees is *closest* to:

A) 4.4%.

B) 5.4%.

C) 6.4%.

Question 5 of 51
Question ID: 1587996

Which of the following characteristics *most likely* applies to private capital investing?

- **A)** Liquid secondary market.
- **B)** High degree of reliance on manager skill.
- **C)** Relatively short-term investment horizon.

Question 6 of 51

Question ID: 1587997

Regarding the main types of leveraged buyouts (LBOs), in a management buy-in:

A) the existing management team is involved in the purchase.

B) an external management team joins the existing management team.

C) an external management team replaces the existing management team.

Question 7 of 51

Question ID: 1588000

The gold futures market is said to be in contango if prices for gold futures are currently:

A) equal to the spot price.

B) less than the spot price.

C) greater than the spot price.

Question 8 of 51

Question ID: 1587999

It is *most likely* that, compared to investing directly in infrastructure assets, an investment in publicly traded infrastructure securities:

A) provides less liquidity.

B) does not regularly distribute asset cash flows to securities holders.

C) provides access only to a small segment of the available infrastructure assets.

Question 9 of 51

Question ID: 1588002

An equity hedge fund that takes long positions in undervalued shares and short positions in overvalued shares is *best* described as pursuing:

A) market neutral strategy.

B) fundamental growth strategy.

C) fundamental value strategy.

Question 10 of 51

Question ID: 1588004

During the portfolio management process, a benchmark should be defined during the:

A) planning step.

B) feedback step.

C) execution step.

Question 11 of 51

Question ID: 1588005

Compared to property and casualty insurance companies, life insurance companies typically have investment horizons that are:

A) longer.

B) shorter.

C) the same.

Question 12 of 51

Question ID: 1587994

A private equity fund owns a large office tower in the commercial district of a major city. No comparable properties have been bought or sold in the recent past. In a fair value hierarchy, this asset is *most* appropriately classified as a:

A) Level 1 investment.

B) Level 2 investment.

C) Level 3 investment.

Question 13 of 51

Question ID: 1587995

At the beginning of the year, a hedge fund had assets under management of EUR 500 million. The fund charges a management fee of 2% based on end-of-year assets under management and a performance fee of 20% that is subject to a hard hurdle rate of 10% after management fees. The fund ended the year with assets under management of EUR 570 million. Investors' return for the year is *closest* to:

A) 10.0%.

B) 10.9%.

C) 11.4%.

Question 14 of 51

Question ID: 1587998

Among real estate investment strategies, which of the following *most likely* have the lowest risk level?

A) Core-plus.

B) Value-add.

C) Opportunistic.

Question 15 of 51

Question ID: 1588001

For physically settled commodities contracts, when the spot price of the underlying is greater than its forward prices, this generally results from a:

A) positive convenience yield and increases the return of a long-only investor.

B) positive convenience yield and decreases the return of a long-only investor.

C) negative convenience yield and decreases the return of a long-only investor.

Question 16 of 51

Question ID: 1588003

An investor is looking to gain exposure to cryptocurrency but does not have a significant amount of funds to invest upfront, and therefore wishes to employ leverage. Which of the following forms of investment would be *most* appropriate for the investor?

A) Cryptocurrency coin trust.

B) Cryptocurrency futures contract.

C) Cryptocurrency exchange-traded funds.

Question 17 of 51

Question ID: 1588006

Which of the following is a typical feature of a defined contribution pension plan?

A) The investment risk is borne by the employee, who makes the investment decisions.

B) Poor investment performance will increase the amount of required employer contributions to the fund.

C) The amount received after retirement is usually based on the employee’s compensation near their retirement date.

Question 18 of 51

Question ID: 1588007

Which of the following items is *most likely* to be found in the appendix to an investment policy statement (IPS)?

A) Portfolio rebalancing guidelines.

B) Authorization for the use of derivatives.

C) Restrictions with respect to social investing.

Question 19 of 51

Question ID: 1588008

An analyst is looking at the risk objectives in three clients' investment policy statements. Which of these is a relative risk objective?

- **A)** For the portfolio to not decrease in value by more than 5% over a 12-month period.
- **B)** No greater than a 3% probability of a loss of more than $35,000 over a 12-month period.
- **C)** Exceed the return on the FTSE 100 Index by 1% over a 12-month period.

Question 20 of 51

Question ID: 1588009

Many defined contribution plan participants tend to hold a large amount of assets in company stock relative to other asset classes because they have worked at the company for many years. Participants with such a tendency *most likely* exhibit:

A) status quo bias.

B) endowment bias.

C) overconfidence bias.

Question 21 of 51

Question ID: 1588010

Jon Jaffrey enjoys reading about stocks. He subscribes to various publications to find investment ideas but usually only acts on ideas that come from one publication because it specializes in investment issues. Which behavioral characteristic does Jaffrey *most likely* demonstrate with this basis for his decision-making?

- **A)** Framing.
- **B)** Anchoring.
- **C)** Representativeness.

Question 22 of 51

Question ID: 1588011

Which of the following behavioral biases is an investment advisor *most likely* to be able to mitigate by educating the client?

A) Endowment bias.

B) Loss aversion bias.

C) Anchoring and adjustment bias.

Question 23 of 51

Question ID: 1588012

In the context of risk management, which of the following is *least likely* classified as a financial risk?

A) Credit risk.

B) Liquidity risk.

C) Solvency risk.

Question 24 of 51

Question ID: 1588013

The primary principles on which the CFA Institute Bylaws and Rules of Procedure for Proceedings Related to Professional Conduct are based *least likely* include:

A) fair process.

B) confidentiality.

C) global application.

Question 25 of 51

Question ID: 1588014

CFA Institute ethical and professional standards:

- **A)** include the code of ethics as a general guide for how community members should act.
- **B)** require that firms which adopt the code of ethics must also adopt the standards of professional conduct.
- **C)** include the standards of professional conduct as the highest benchmark for acceptable behavior by financial analysts.

Question 26 of 51

Question ID: 1588015

Judy Nicely, CFA, works for a large brokerage firm managing portfolios for individuals. In a meeting with Patty Owen, a client, Nicely suggests moving a portion of Owen's portfolio to U.S. bank certificates of deposit. Nicely states that the principal is guaranteed up to Federal Deposit Insurance Corporation limits. Nicely has:

- **A)** complied with CFA Institute Standards.
- **B)** violated the Standards by making an inappropriate assurance or guarantee.
- **C)** violated the Standards by misrepresenting the terms and character of the investment.

Question 27 of 51

Question ID: 1588016

Bob Reynolds, CFA, is bearish on JBH Manufacturing Company and takes a short position in the stock. Reynolds posts negative claims about company management, which are untrue, to several popular investment bulletin boards on the Internet. According to CFA Institute Standards of Professional Conduct, Reynolds has violated the Standard concerning:

A) fair dealing.

B) communication with clients.

C) market manipulation.

Question 28 of 51

Question ID: 1588017

The recommended procedures for the Standard on material nonpublic information state that a firm's internal information "firewall" should include:

- **A)** a prohibition against buying and selling when the firm possesses material nonpublic information.
- **B)** a reporting system in which authorized personnel review and approve interdepartmental communications.
- **C)** distribution of a restricted list to all employees in the relevant departments of the firm.

Question 29 of 51

Question ID: 1588018

According to the Standard concerning fair dealing, new or changed investment recommendations should be made available to:

- **A)** all clients.
- **B)** clients who have indicated a prior interest in that type of security.
- **C)** only clients who have selected a level of service that includes such notification.

Question 30 of 51

Question ID: 1588019

Randy Green, CFA, is a principal in an investment advisory firm. His firm has been retained by Bob Harris to manage a retirement fund of which Harris is a director. Green writes Harris a letter that states he will personally oversee the account and will always act in Harris's best interest. If Green acts in accordance with this statement, he will:

A) not violate the Code and Standards.

B) violate the Standard concerning priority of transactions.

C) violate the Standard concerning loyalty, prudence, and care.

Question 31 of 51

Question ID: 1588020

Fran Bitner, CFA, manages a portfolio for a retail client. The client calls Bitner and requests a trade that Bitner believes is unsuitable according to the client's IPS but would not have a material impact on the client's overall portfolio. According to the Code and Standards, Bitner's *most appropriate* action is to:

A) evaluate whether to continue her advisory relationship with this client.

B) open an unmanaged account in which the client may execute this trade, if her firm’s policies allow this.

C) discuss with the client how this trade deviates from the IPS and follow her firm’s policies for obtaining client approval.

Question 32 of 51

Question ID: 1588021

Nancy Wiley, CFA, suspects that one of her clients is involved in illegal money-laundering activity and may have large amounts of unreported income. To comply with the Code and Standards, Wiley's *best* course of action is to:

A) report the suspected activity to the authorities as required by law.

B) report the activity and dissociate from managing that client's account.

C) inform her supervisor, check with her firm's compliance department and possibly outside counsel, and allow her employer to determine the proper steps to take.

Question 33 of 51

Question ID: 1588022

With respect to a member's activities when leaving a firm, under the Code and Standards, it is *least likely* that:

A) using knowledge of client names after leaving the firm is permissible.

B) it is acceptable to take firm records or work performed on the employer’s behalf, if the employer grants permission.

C) the employee’s skills and knowledge obtained while employed are considered confidential or privileged information of the employer.

Question 34 of 51
Question ID: 1588023

Hugh Nelson, CFA, has recently been offered a supervisory role at his firm. Nelson will be responsible for managing a large staff of portfolio managers and securities analysts. Before accepting the position, Nelson reviews the firm's compliance policies and procedures. Nelson feels the procedures and policies are adequate, with one major exception—a trade allocation procedure. Nelson's *most appropriate* action is to:

A) accept the position and encourage the firm to implement adequate trade allocation procedures.

B) decline in writing to accept the promotion until adequate compliance procedures are in place.

C) accept the position, implement an adequate trade allocation procedure, and encourage the firm to adopt policies consistent with CFA Institute Standards.

Question 35 of 51

Question ID: 1588024

Kay Boyle, CFA, lives and works in a country that requires financial firms to retain all emails and text messages sent to customers for at least three years. Boyle's firm has a policy of retaining records for at least five years. Under the Code and Standards, how long is Boyle required to retain emails and text messages she sends to customers?

A) Five years because the firm’s policy is more strict than the applicable law.

B) Three years because this is the applicable law for emails and text messages.

C) Seven years because the Standards are more strict than the applicable law or the firm’s policy.

Question 36 of 51

Question ID: 1588025

Tom Laird, CFA, subscribes to several different analytical and research reporting services, reviews their research, and presents the analysis he believes is accurate to his clients. Laird attributes the material to its sources. Laird's method of providing analysis to his clients:

- **A)** does not violate any Standards.
- **B)** violates the Standard on diligence and reasonable basis.
- **C)** violates the Standard related to independence and objectivity.

Question 37 of 51

Question ID: 1588026

John Malone, CFA, manages pension funds at BNA Trust Company. Malone's wife is on the board of directors of Barley Corporation and owns 3% of its outstanding stock. BNA Trust's research division has recently recommended Barley stock to its trust officers and pension fund portfolio managers. Based on the CFA Institute Standards, Malone:

A) may purchase the stock after disclosing his spouse's ownership interest to his supervisor and to the trustees of the pension funds he manages.

B) may not purchase the stock because he is not able to be unbiased and objective, given his spouse's affiliation with Barley.

C) is free to act with no restrictions because he is not a beneficial owner of the Barley stock.

Question 38 of 51

Question ID: 1588027

Roger Smith, CFA, manages a retirement account for his father-in-law. Smith notices that a stock his father-in-law owns has been downgraded by his firm's research department. Smith places a "sell" order for the entire position in that stock for three clients' accounts, one of which belongs to his father-in-law. According to the CFA Institute Standards of Professional Conduct, Smith:

A) has violated the Standards because he has beneficial ownership in the account.

B) has not violated any Standard because his father-in-law’s account should be treated like any other firm account.

C) has violated the Standards by entering a transaction before all clients have had adequate opportunity to act on the recommendation.

Question 39 of 51

Question ID: 1588028

Janet Todd passed Level II of the CFA program in June of last year and wants to note on her résumé her involvement in the CFA program. Todd passed both Level I and Level II of the CFA examination on her first attempts and plans to register for the Level III examination next year. Which of the following is an acceptable reference to her participation in the CFA program? Janet Todd:

- **A)** is a Level III candidate in the CFA program.
- **B)** is a Level II CFA.
- **C)** passed the Level I and Level II CFA examinations on her first attempts.

Question 40 of 51

Question ID: 1588029

Marilyn Wyatt, CFA, is explaining why Global Investment Performance Standards (GIPS) were created and the parties to which they apply. Wyatt states: (1) GIPS were created to address misleading practices such as presenting superior performance of a particular account or over a selected time period as if it were typical; and (2) members and candidates are not required to comply with GIPS, but it is recommended that they do so. Are Wyatt's statements accurate?

- **A)** Both of these statements are accurate.
- **B)** Neither of these statements is accurate.
- **C)** Only one of these statements is accurate.

Question 41 of 51

Question ID: 1588030

An acceptable construction of a composite for a firm that complies with Global Investment Performance Standards could include all discretionary, fee-paying portfolios that:

- **A)** follow a capital preservation strategy.
- **B)** hold between $1 million and $5 million in assets.
- **C)** were 100% invested in speculative-grade bonds for the past year.

Question 42 of 51

Question ID: 1588031

Donna White, CFA, resides in the country of Xanadu. White discovers that a conflict exists between Xanadu's regulatory requirements and the Standards of Professional Conduct. Specifically, Regulation 100 is more strict than the Standards, but Regulation 200 is less strict than the Standards. When conducting business in Xanadu, White must adhere to the:

- **A)** CFA Institute Standards for both Regulation 100 and Regulation 200.
- **B)** Xanadu regulatory requirements for both Regulation 100 and Regulation 200.
- **C)** Xanadu regulatory requirements for Regulation 100, but the CFA Institute Standards for Regulation 200.

Question 43 of 51

Question ID: 1588032

Which of the following actions would *most likely* violate the Standard related to misconduct?

A) A member gets drunk and drives into a tree, killing the tree.

B) A candidate reports damage to her car to her insurance company as vandalism, but she actually caused the damage herself.

C) A candidate tells a client that timely interest and principal payments from an agency mortgage-backed security are guaranteed.

Question 44 of 51

Question ID: 1588033

Juliann Clark, CFA, participates in a conference call for several analysts in which the chief executive officer at Dex says his company's board of directors has just accepted a tender offer from Monolith Chemicals to buy Dex at a 40% premium over market. Clark contacts Bart Alpert, CFA, and relates the information about Dex and Monolith. Alpert promptly contacts his broker and buys 2,000 shares of Dex's stock. Did Clark or Alpert violate the Code and Standards?

A) Both members violated the Code and Standards.

B) Neither member violated the Code and Standards.

C) Only one of the members violated the Code and Standards.

Question 45 of 51

Question ID: 1588034

Ed Michaels, CFA, recently executed a series of large buy orders for a client that have driven the price of a small-cap stock, in which Michaels' firm owns shares, up by approximately 5%. Separately, the firm is part of the underwriting syndicate for an IPO and has promised to act as a market maker for the shares and to create additional liquidity in the stock over its first 90 days of trading by committing to minimum bids and offers of 5,000 shares and to a maximum spread of 1/8th. Do either of these actions violate the Standard concerning market manipulation?

A) Both of these actions violate the Standard.

B) Neither of these actions violates the Standard.

C) Only one of these actions violates the Standard.

Question 46 of 51

Question ID: 1588035

William Rex, CFA, has a one-man firm that manages investment portfolios. In his marketing materials, Rex presents the asset-weighted returns for accounts he has managed over the last five years and does not disclose that the first two years of his performance history were achieved at a previous firm. He also includes simulated results of a stock selection model he employs and indicates that they are from a simulation. Has Rex violated any CFA Institute Standards of Professional Conduct?

A) No.

B) Yes, failing to disclose that two years of his performance results were with a previous employer is a violation, but including the simulated results is acceptable.

C) Yes, both by failing to disclose that two years of his performance results were with a previous employer and by including the simulated, rather than actual, performance results.

Question 47 of 51

Question ID: 1588036

Chuck Swamy, CFA, works as a portfolio manager at an investment advisory firm. Swamy serves on the board of directors of Landmark Enterprises, a private company, for which he receives $2,000 annually. Swamy also serves as an unpaid investment and portfolio advisor to the local symphony and receives season tickets to the symphony for his service. According to the Standards concerning duties to employers, Swamy is *most likely* required to:

- **A)** secure written permission from his employer before performing services for the symphony.
- **B)** disclose to his employer the additional compensation he receives from both the symphony and from Landmark.
- **C)** disclose to his employer any additional compensation he receives from Landmark and secure written permission to serve on its board.

Question 48 of 51

Question ID: 1588037

Russ Shane, CFA, recommends mutual funds to his clients from a list of 30 funds that his firm has approved, but which he has not researched himself. Shane hears from a former colleague that Rush Growth Fund, which is not on his firm's list, was the best-performing fund in its category over the last three years. Shane recommends this fund to a new client. Shane has:

- **A)** not violated the Standards.
- **B)** violated the Standards by recommending Rush Growth Fund but not by recommending funds from his firm's approved list.
- **C)** violated the Standards by recommending Rush Growth Fund and by failing to research the funds on his firm's approved list before recommending them.

Question 49 of 51

Question ID: 1588038

William Rogers, CFA, is a commercial insurance broker who sometimes recommends money managers to his high net worth clients. For those clients who hire the managers, the managers pay Rogers a percentage of the management fees on the account. Rogers tells prospects, "I receive referral fees from the money managers if you employ them." Rogers has:

A) not violated the Standards.

B) violated the Standard concerning referrals.

C) violated the Standard on communications with clients and prospects.

Question 50 of 51

Question ID: 1588039

Which of the following actions is *least likely* a violation of the Standard concerning conduct as participants in CFA Institute programs?

A) A member anonymously posts a disparaging comment about CFA Institute policies on an Internet message board.

B) A member fails to disclose a formal complaint from a client on her annual Professional Conduct Statement.

C) A candidate who took the Level I CFA exam in May discusses which topics were emphasized with a candidate for the November exam.

Question 51 of 51

Question ID: 1588040

Securities laws in the Trempealeau Islands prohibit trading based on nonpublic information. Compared to the Code and Standards, this regulation is:

A) less strict.

B) more strict.

C) equally strict.